Promotion of Micro Credit

Micro Credit is defined as provision of thrift, credit and other financial services and products of very small amount to the poor in rural, semi-urban and urban areas for enabling them to raise their income levels and improve their living standards. Micro Credit Institutions are those which provide these facilities[10]. The self-help group and bank linkage is a medium to promote micro credit.

Related Terms

Basel Norms

Basel norms are fixed by Bank for International Settlements. It is located in Basel, Switzerland and acts as a coordinating agency for Central Banks of various countries. It is necessitated by globalisation. Many banks operate internationally. These norms are for individual banks and Systemically Important Financial Institutions (SIFI). Its implementation is done by Central Banks of the respective countries. In India it is by RBI.

SIFIs are whose "… failure may trigger a relatively large number of simultaneous failures within the financial sector, and as a result, large losses to the entire economy".[11] It defines these institutions from the point of failure. Does it mean we can identify these institutions only after failure? The answer is yes and no. There is no pre-known definition. At the same time there are few indicators to identify them. The financial institutions which are big in size, receiving short term funds and lending for long term purpose are prone to failure. These are few indicators based on which it can be identified. But these are not exhaustive indicators.

These norms are developed by Basel Committee on Banking Supervision (BCBS). So far three set of norms were developed. They are called Basel I, Basel II and Basel III. Basel I and II were